

Before the
FEDERAL MARITIME COMMISSION
Washington, D.C. 20573
Docket No. 23-03



CERTIFIT, INC. v. EVERGREEN SHIPPING AGENCY (AMERICA) CORP., AS AGENT
FOR EVERGREEN LINE, EVERGREEN GROUP D/B/A EVERGREEN LINE

VERIFIED COMPLAINT

I. INTROUCTION

1. Complainant, CertiFit, Inc. (“Complainant”), by its undersigned counsel, brings this Verified Complaint against Respondent Evergreen Shipping Agency (America) Corp., as agent for Evergreen Line, Evergreen Group d/b/a Evergreen Line and its constituent parts¹ (“Respondent”) pursuant to 46 U.S.C. § 41301 seeking reparations for injuries to Complainant caused by Respondent’s violations of the Shipping Act of 1984, as Amended, 46 U.S.C. § 40101 *et. seq.* (the “Shipping Act”).
2. Respondent is a member of the Ocean Alliance, along with CMA-CGM, Cosco Group, and OOCL. Most of the top global container lines have organized themselves to form three major ocean “alliances,” which collectively control the vast majority of ocean container

¹Respondent Evergreen Shipping Agency (America) Corp., as agent for Evergreen Line, Evergreen Group d/b/a Evergreen Line and its constituent parts consisting of: Evergreen Group consists of container shipping companies including Evergreen Marine Group (Taiwan) Ltd, Italia Maritime S.p.A., Evergreen Marine (UK) Ltd., Evergreen Marin (Hong Kong) Ltd., Evergreen Marine (Singapore) Pte. Ltd., and Evergreen Marine (Asia) Pte. Ltd.

shipping. Correspondingly, the global carriers exercise enormous power over the global shipping industry.

3. Complainant is an importer of after-market auto body parts from Asia, primarily Taiwan, and is a shipper of goods which relies on ocean carriers including Respondent to ship goods to the United States.
4. Although the service contract at issue was to be performed during the onset of the COVID-19 pandemic, Complainant's business was considered "critical infrastructure" under United States law and regulations, so Complainant continued operations during the entirety of the pandemic, and its suppliers in Taiwan were not forced to shut down or scale back production as a result of the pandemic, since no national "shelter in place" or "stay at home" type of order was issued by the government of Taiwan.
5. Taking advantage of price inflation since the beginning of the COVID-19 pandemic, global ocean freight carriers, Respondent included, have upon information and belief unjustly and unreasonably exploited customers such as Complainant by substantially increasing their profits at the expense of shippers such as Complainant and the U.S. public generally, which bears increased freight costs in the form of inflation.
6. Traditionally, Complainant has secured most of its ocean freight via service contracts with Respondent and other ocean carriers. Such contracts specify a minimum quantity commitment ("MQC") for cargo to be shipped between certain groups of ports and set forth pricing for port-to-port lanes subject to the service commitment. The service contracts between Complainant and Respondent, including the 2020-2021 shipping year contract at issue, provide for not just trans-oceanic transport, but full intermodal shipping of containers

from the tender point in Asia, through the foreign port and the paired port in the U.S., and then overland by rail and truck in the U.S. to Complainant's locations in the interior of the U.S. as designated by Complainant and agreed upon by Respondent. Entering service contracts in advance ensures the shipper will have sufficient freight service and mitigates exposure to changes in market price.

7. Due to the COVID-19 pandemic, global ocean carriers reportedly began taking actions to inflate ocean carriage pricing and improve profitability at the expense of shippers and the public. One such action includes "blank sailings" that deprived shippers of capacity by creating artificial scarcity and dramatically increasing prices on the spot market.
8. In 2020 and 2021, Respondent engaged in unjust and unreasonable practices with respect to Complainant's cargo. Instead of honoring the pricing and MCQ commitments in its service contract with Complainant, Respondent initiated a practice of systematically failing to meet its quantity commitments to Complainant, refusing to accept loaded shipping containers tendered in Asia for transport to Complainant's U.S. locations under the service contract, and refusing to provide empty containers in Asia for loading by Complainant, its contractors, or suppliers. In consequence, the Complainant was required to obtain container shipping space on the spot market at a significantly increased expense. Such replacement space from the spot market also usually provided a lower level of service than Complainant's service contract with Respondent. For example, spot market shippers would often only deliver loaded shipping containers to the nearest railyard instead of Complainant's facilities, placing the additional cost of drayage trucking of the containers from and back to the railyard onto Complainant, and allowing Complainant impossibly less

time than provided under its service contract with Respondent for unloading containers and returning them to the shipper before daily container and chassis detention charges began to accrue. Such detention charges generally are \$160 or more per calendar day, per container/chassis combination, depending on the shipper.

9. Respondent's unreasonable practices occurred simultaneously with an unprecedented increase in spot market pricing for ocean freight. On information and belief, Respondent sought to take advantage of the higher prices by forcing shippers with service contracts, like the Complainant, to resort to spot market purchases to secure needed freight carriage.
10. Respondent benefits from this unreasonable practice by being able to sell previously contracted capacity on the spot market, or to other shippers willing to pay a higher premium, rather than honoring its service contract commitments.
11. On information and belief, Respondent's unreasonable practices were knowing and deliberate, and were not due to a lack of available cargo space or as a result of any other circumstances outside of Respondent's control. Indeed, on several occasions when Respondent failed to provide space at the contracted rates, thus requiring the Complainant to secure space on the spot market, Complainant's cargo traveled on Respondent's ships, which demonstrates that the Respondent did, in fact, have capacity to carry the Complainant's containers pursuant to its service contract with the Complainant.

II. THE COMPLAINANT

12. Complainant CertiFit, Inc. is a corporation existing under the laws of the State of Utah with its principal place of business located at 3170 South 900 West, Salt Lake City, Utah 84119, telephone (801) 977-0078, email care of Bradley Wohlenberg, bwohlenberg@certifit.com,

and via its undersigned counsel's telephone number and email addresses listed below. For purposes of its service contracts with Respondent, Complainant is a "shipper" as that term is defined by 46 U.S.C. § 40102(23).

III. THE RESPONDENT

13. Respondent Evergreen Shipping Agency (America) Corp. as Agent for Evergreen Line is, upon information and belief, a corporation existing under the laws of the State of New Jersey with its principal place of business located at 1 Evertrust Plaza, Ste. 600, Jersey City, New Jersey 07302. Evergreen Group d/b/a Evergreen Line is a trade name for various entities as noted above. At all relevant times hereto, Evergreen Shipping Agency (America) Corp. is a disclosed agent for the Evergreen Group and its constituent corporations. Respondent is a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. § 40102(9).

IV. JURISDICTION AND AUTHORITY

14. The Federal Maritime Commission ("FMC") has subject matter jurisdiction over the claim made in this Verified Complaint pursuant to 46 U.S.C. §§ 41301-41309.
15. The FMC has personal jurisdiction over Respondent as an "ocean common carriers" as set forth in 46 U.S.C. § 40102(18), that has entered into "service contracts," as that term is defined by 46 U.S.C. § 40102(21), with Complainant.
16. Respondent's actions and conduct alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, on information and belief, other shippers in violation of 46 U.S.C. § 41102(c).

17. Respondent's conduct and actions alleged herein constitute the provision of service in the liner trade that is not in accordance with the rules and practices contained in its service contracts with Complainant, in violation of 46 U.S.C. § 41104(a)(2).
18. Respondent's conduct and actions alleged herein, done in connection with its provision of service pursuant to its service contract with Complainant, individually and collectively, constitute unfair and unduly discriminatory practices against Complainant in the matter of rates or charges with respect to the ports for which Complainant contracted with Respondent, in violation of 46 U.S.C. § 41104(a)(5).
19. Respondent's conduct and actions alleged herein with respect to its service contract with Complainant individually and collectively also gave undue and unreasonable preference and advantage to shippers other than Complainant and imposed undue and unreasonable prejudice and disadvantage on Complainant with respect to the ports for which Complainant contracted with Respondent, in violation of 46 U.S.C. § 41104(a)(9).
20. Respondent's actions in the course of negotiating carriage with Complainant and providing service to Complainant pursuant to its service contract with Complainant constitute unreasonable refusals to deal or negotiate with Complainant, in violation of 46 U.S.C. § 41104(a)(10).

V. MATTERS COMPLAINED OF (ALLEGED FACTS)

21. Complainant and Respondent entered into Service Contract No. SC82616, effective as of April 27, 2020 and covering the time period from April 27, 2020 through April 30, 2021 (the "2020 Service Contract").

22. Complainant and Respondent agreed to the 2020 Service Contract, which governed the April 2020 – April 2021 shipping year.
23. The 2020 Service Contract set its MQC at 1000 twenty-foot equivalent units (“TEUs”).
24. The 2020 Service Contract listed port pairs subject to the 1000 TEU MQC. Those port pairs included: Hong Kong/Yantian/Kaohsiung/Pusan/Shanghai/Ningbo/Qingdao to Salt Lake City, UT; Keelung, TW to Salt Lake City, UT; Taichung, TW to Salt Lake City, UT; Hong Kong/Yantian/Kaohsiung/Pusan/Shanghai/Ningbo/Qingdao to Memphis, TN; Keelung, TW to Memphis, TN; and Taichung, TW to Memphis, TN.
25. Complainant exclusively uses forty-foot high cube containers for its cargo which, pursuant to the conversion formula in the 2020 Service Contract are each counted as 2.25 TEUs toward the MQC, therefore, 445 forty-foot high cube containers is equivalent to 1000 TEUs.
26. Throughout the term of the 2020 Service Contract, Respondent engaged in unjust and unreasonable practices towards Complainant. Instead of providing space at contracted rates, Respondent began a systematic practice of failing to make space available under its service contract and refusing Complainant’s tendered cargo.
27. Complainant repeatedly attempted to discuss these issues with the Respondent by calling and sending letters, however, Respondent either responded negatively or did not respond at all.
28. Respondent continued this unjust and unreasonable practice until April 19, 2021—eleven days before the 2020 Service Contract ended. By this time, Respondent had only shipped

157 of the 445 containers agreed upon despite Complainant tendering containers to the Respondent throughout the duration of the service contract.

29. All told, despite agreeing to a 1000 TEU MQC of space for the Complainant during the 2020 Service Contract year, Respondent provided only approximately 353.25 of TEUs to Complainant despite being promised a 1000 TEU MQC.
30. As a result of the shortfall and Respondent's unreasonable practices, Complainant was forced to seek carriage from other sources at higher rates, or else forgo shipments entirely.
31. As a result of the higher rates Complainant was forced to pay to make up for Respondent's shortfalls, Complainant has been damaged by at least \$750,000.00, or in an amount to be shown by the evidence.
32. On several occasions when Complainant was forced to make spot market purchases through freight forwarders to make up for Respondent's shortfall, Complainant's containers were carried on Respondent's own ships. Other spot market purchases resulted in Complainant's cargo being carried on vessels belonging to OOCL, Respondent's global alliance partner.
33. Respondent's conduct suggests a deliberate practice of entering into service contracts based on quoted rates while expecting not to fulfill the service commitments in those contracts at the contracted rate, but instead, failing to provide carriage of Complainant's cargo in favor of shippers willing to pay higher prices.
34. Respondent's conduct with respect to Complainant as alleged herein constitutes an unlawful refusal to deal.

35. Complainant repeatedly advised Respondent of its needs concerning cargo to be shipped from the ports identified in the 2020 Service Contract.
36. Throughout the term of the 2020 Service Contract, Complainant and its agents attempted to work with Respondent to book space for Complainant's cargo as promised in the 2020 Service Contract.
37. Similarly, Complainant and its agents attempted to communicate with the Respondent and its agent regarding its failure to provide the space for Complainant's cargo as outlined in the 2020 Service Contract.
38. Respondent's actions in failing to provide contracted space, failing to accept tendered cargo, failure to provide necessary information concerning booking issues, and engaging in a scheme to withhold service, individually and collectively, amount to an unlawful refusal to deal with Complainant.
39. Respondent has engaged in several unjust and unreasonable practices relating to receiving, handling, storing, and/or delivering Complainant's cargo.
40. As previously alleged, Respondent has followed a practice of repeatedly failing to perform under the 2020 Service Contract, forcing the Complainant to obtain space on the spot market at significantly higher rates, many of which were on Respondent's own vessels or vessels owned by Respondent's alliance partners.
41. Respondent's failure to accept tendered containers has resulted in Complainant incurring unnecessary charges and fees, including those for demurrage and drayage.
42. On information and belief, Respondent has benefited from this practice by carrying cargo at higher rates, including those increased rates paid in spot market purchases.

VI. CAUSES OF ACTION

43. Complainant reasserts and incorporates the preceding paragraphs as if stated herein.
44. The foregoing customary, continuous conduct by Respondent in connection with the receipt, handling, storage, and delivery of Complainant's cargo and, on information and belief, of other shippers, constitute failure by Respondents to establish observe, and enforce just and reasonable practices relating to the receiving, handling, storing, and delivering of the property of the Complainant and other shippers in violation of 46 U.S.C. § 41102(c).
45. The foregoing conduct by Respondent constitutes provision of services in the liner trader that is not in accordance with the rules and practices contained in Respondent's 2020 Service Contract with Complainant, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC, in violation of 46 U.S.C. § 41104(a)(2).
46. The foregoing conduct by Respondent in the course of providing service to Complainant pursuant to Respondent's 2020 Service Contract with Complainant, constitute an unfair and unjustly discriminatory practice against Complainant in the matter of rates or charges with respect to the ports identified in the 2020 Service Contract, in violation of 46 U.S.C. § 41104(a)(5).
47. The foregoing conduct by Respondent in the course of providing service to Complainant pursuant to Respondent's 2020 Service Contract with Complainant, gave undue and unreasonable preference and advantage to shippers other than Complainant and imposed undue and unreasonable prejudice and disadvantage to Complainant with respect to the ports identified in the 2020 Service Contract, in violation of 46 U.S.C. § 41104(a)(9).

48. The foregoing conduct by Respondent in the course of providing service to Complainant pursuant to Respondent's 2020 Service Contract with Complainant constitutes unreasonable refusal to deal or negotiate with Complainant, in violation of 46 U.S.C. § 41104(a)(10).
49. The foregoing alleged illegal acts of Respondent have directly and proximately injured Complainant by forcing Complainant to make alternative transportation arrangements for cargo that was supposed to be shipped by Respondent pursuant to the terms of the 2020 Service Contract at substantially increased spot market prices or forego shipping such cargo altogether.
50. Complainant has been damaged in that it has incurred very great added expense to ship its goods on the spot market, along with unanticipated costs and fees for demurrage and drayage.

VII. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that the FMC require Respondent to answer the charges made in this Verified Complaint and prays for relief from the FMC as follows:

1. An investigation by the FMC of the allegations contained in this Verified Complaint pursuant to 46 U.S.C. § 41301(c);
2. An Order after the completion of said investigation pursuant to 46 U.S.C. §§ 41302 and 41303 and a hearing pursuant to 46 U.S.C. § 41304, finding that Respondent has violated the provisions of the Act as outlined herein;
3. An Order compelling Respondent to cease and desist from violating the Shipping Act as outlined herein and requiring Respondent to put into place practices to preclude

Respondent from refusing to provide Complainant with its allotted space at the rates agreed upon in future service contracts;

4. An Order requiring Respondent to pay Complainant reparations for the unlawful conduct alleged herein in an amount to be proven pursuant to 46 U.S.C. § 41305, with interest pursuant to 46 U.S.C. § 41305(A), Complainant's reasonable attorney's fees as the "prevailing party" pursuant to 46 U.S.C. § 41305(e), and any other sum the FMC determines to be proper; and
5. Such other and further orders or relief as the FMC deems just and proper.

VIII. REQUEST FOR ORAL HEARING

Complainant requests an oral hearing in Washington, D.C.

Dated: April 26, 2023

Respectfully submitted,

RICHARDS BRANDT MILLER NELSON
111 E. Broadway, Ste. 400
Salt Lake City, Utah 84111
(801) 531-2000



Barry G. Scholl
barry-scholl@rbmn.com
Sean B. Leonard
sean-leonard@rbmn.com
Attorneys for Complainant

BRADLEY WOHLBERG, GENERAL
COUNSEL, CERTIFIT, INC.
27240 Turnberry Lane, Ste. 200,
Valencia, CA 91355
(801) 977-0078

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Bradley Wohlenberg

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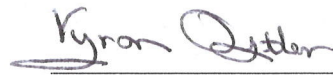
Bradley Wohlenberg
bwohlenberg@certifit.com

Respondent:

Evergreen Shipping Agency (America) Corp.
Manager of Tariff Department
One Evertrust Plaza,
Jersey City, New Jersey 07302
(201) 761-3361
mkdcdtrf@evergreen-shipping.us

VERIFICATION

I, Vyron Ostler, am the Secretary/Treasurer of Complainant CertiFit, Inc., located at 3170 South 900 West, Salt Lake City, Utah 84119 (vyron@certifit.com). I have read the foregoing Verified Complaint and believe to the best of my knowledge, information and belief, including information received from others, that the facts stated herein are true and correct. I declare under penalty of perjury that the foregoing is true and correct.



Vyron Ostler

April 25, 2023

April 25, 2023